

THE BIG SQUEE

A deadly cocktail of rising prices and rising cost of money has wrecked household budgets across the country

■ By Nivedita Mukherjee

In Ashutosh Gowariker's magnum opus *Lagaan*, the villagers of Champaner pray fervently for rain till the horizons turn dark and the big drops arrive. They are then rewarded with a harvest to pay their arrears to the British. The UPA regime which has been as desperate for a decent monsoon may not be as lucky. Even though a good monsoon appears to have set in, government officials admit that it is not going to douse the inflationary fires. The Centre had feebly pinned its hopes on the early showers of a good monsoon forecast to cool food prices and cap inflationary pressures.

June saw a scorching sun kicking in and the highest inflation rate of the UPA Government's tenure—8.75 per cent in the week ending May 31. In fact, inflation has been inching up gradually from 4.36 per cent three months ago to 7.33 per cent and 7.41 per cent in the months of April-May. The rise in food prices was the trigger for the two inflationary highs of 8.24 per cent in the week ending May 24 and 8.75 per cent for the week ending May 31.

UP, UP AND AWAY

A comparison of commodity prices today and four years ago reveals the burning hole in the common man's pocket

